

Legacy Invest Management
PO Box 34757
Bartlett, TN 38184
901-405-0132



LEGACY INVEST MANAGEMENT PROPERTY MANAGEMENT AGREE

This Agreement creates legal rights and obligations. You are encouraged to consult with legal counsel.

This **Agreement** is made and entered into on this date _____ by and between _____ ("Owner") and **Legacy Invest Management, Inc.** ("Legacy") ("Manager").

Owner owns certain real property as more particularly described in this Agreement. Manager is in the business of providing property management and leasing services. Owner desires to engage the services of Manager and Manager desires to perform services on behalf of the Owner relating to the property described in this Agreement.

Now, in consideration of the mutual covenants herein and for other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the parties agree as follows:

1. **Appointment of Manager.** Owner appoints and authorizes Manager to act as the exclusive representative of Owner for the purpose of managing and operating that certain real property located in the County/City of Shelby/Memphis, Tennessee which commonly known as _____ (the "Property").

2. **Term of Agreement.** This Agreement shall be for a fixed period of **2 (two) year(s)**, beginning on the _____, and terminating on the _____, unless earlier terminated as provided herein. Upon the expiration of the term, this Agreement, if not terminated in writing, shall renew on an annual basis with the same terms contained herein until such time as one or both parties give at least 60 days written notice of termination.

3. **Duties of Manager.** Under the terms of this Agreement, Manager and Manager's affiliated licensees who represent the Owner ("client") shall be the Owner's limited agent with the following duties and obligations: (1) To perform the terms of any written agreement made with the client; (2) To exercise reasonable skill and care for the client; (3) To promote the interests of the client with the utmost good faith, loyalty and fidelity, including: (a) Seeking a price and terms which are acceptable to the client, except that the licensee shall not be obligated to seek additional offers while the property is subject to a lease or a letter of intent to lease; (b) Presenting all written offers to and from the client in a timely manner regardless of whether the property is already subject to a lease or letter of intent to lease; (c) Disclosing to the client adverse material facts actually known or that should have been known by the licensee; and (d) Advising the client to obtain expert advice as to material matters about which the licensee knows but the specifics of which are beyond the expertise of the licensee; (4) To account in a timely manner for all money and property received; (5) To comply with all requirements of applicable real estate rules and regulations as

promulgated pursuant to Tennessee State statutes; (6) To comply with any applicable federal, state, and local laws, rules, regulations, and ordinances, including fair housing and civil rights statutes or regulations; and (7) To not disclose confidential information about the client unless disclosure is required by statute, rule or regulation or failure to disclose the information would constitute a misrepresentation or unless disclosure is necessary to defend the affiliated licensee against an action of wrongful conduct in an administrative or judicial proceeding or before a professional committee. No cause of action shall arise against a licensee acting as the Owner's agent for making any required or permitted disclosure. An Owner's agent may show alternative properties not owned by the Owner to prospective tenants and may list competing properties for sale or lease without breaching any duty or obligation to the Owner. A licensee acting as an Owner's agent owes no duty or obligation to a customer, except that a licensee shall disclose to any customer all adverse material facts actually known or that should have been known by the licensee.

In addition to the foregoing duties and responsibilities, Manager shall have the authority and exclusive right to perform the following duties and responsibilities:

- a) Manager shall have the authority and exclusive right to advertise the Property or any units available for rent by any reasonable means including, but not limited to, placing signs on or about the Property and listing the property with a Multiple Listing Service in accordance with said Service's rules and including Internet-related services. While a property is vacant, Owner will pay \$50 per unit per month until rented. At the time the property is rented, the management fee of 9% will take effect.
- b) Manager shall have the authority and exclusive right to negotiate leases with current and prospective tenants and to sign, renew, or cancel leases for the Property or any part thereof on behalf of Owner.
- c) Manager shall sign all Section 8, rental assistance programs, municipality, code, occupancy, and other required documentation needed for property tenancy on Owner's behalf.
- d) Manager shall take all reasonable steps necessary to collect and enforce the collection of rents and any and all other charges due Owner from a tenant in accordance with the terms of the lease governing such tenancy and/or as provided under the laws of the State of Tennessee. Manager may institute legal proceedings to recover rent, any other amounts due Owner from a tenant, and possession of the portion of the Property occupied by a tenant and shall have the authority to expedite, settle, compromise, and release any such actions and/or suit.
- e) Manager shall make or cause to be made all maintenance, alterations and repairs to the Property as shall be reasonably necessary from time to time. Manager has authority to approve repairs \$500 or less. Any repairs over the \$500 limit shall be presented to Owner for approval. Emergency maintenance related issues including but not limited to flood, break-in, lack of hot water, and HVAC situations that leave tenant(s) without heat or air shall be approved by Manager, though Owner will be notified. Manager also has the authority to approve emergency maintenance/repairs related to city/county code infractions or governmental agencies' requested repairs that require 24-hour turn-around. Manager will make emergency decisions in the best interest of the owner and to prevent abatement of payment or legal measures from governmental agencies. The Owner will be notified of

the repairs. The Owner is responsible for all repair expenses.

f) From the gross revenues collected by Manager on behalf of Owner from the tenants, Manager shall have the authority to pay all operating expenses attributable to the Property including, but not limited to, utilities, maintenance, advertising, collection, pest control, alterations, repairs, and improvements. If the condition requiring alteration or repair requires immediate action in order to protect the Property, persons occupying the Property, and/or any personal property on the Property and the Owner is not available to give consent to such repair, then Manager shall have the discretion to undertake the alteration or repair without the Owner's consent, so long as such discretion is exercised in a reasonable manner.

g) Manager shall have the authority to hire, supervise and terminate, on behalf of Owner, all independent contractors and/or property employees, if any, reasonably required to effectively operate the Property. Any persons employed specifically to care for and maintain the Property shall be considered employees of Owner and not employees of Manager unless otherwise specified in writing between the parties.

h) Manager shall address all tenant requests and any negotiations as may arise from time to time during the term of this Agreement.

i) Manager shall be responsible for any necessary snow and/or ice removal at the Property at the Owner's expense.

j) Manager may, when Manager deems such to be advisable, have any or all utilities turned on in a unit at the Property for showing units to prospective tenants, for purposes of allowing servicepersons or repair

k) persons to perform services at the Property, or for the protection of unoccupied or vacant units. All utilities shall be kept in the owner's name and all expenses related to utilities shall be at owner's sole expense.

l) Management will charge 1.5% on all account balances over thirty (30) days old.

m) Legacy may collect from tenants any of the following; late rent fees, administrative charges, application fees, repairs, and NSF fees. These fees will not be accounted to the Owner for such charges or commissions.

In addition, Manager and Manager's affiliated Licensees shall provide, at a minimum, for an agreed fee of 6% or \$6,000 per transaction, whichever is greater, the following services (1) Accepting delivery of and presenting to the client or customer offers and counteroffers to buy or sell the client's property or the property the client or customer seeks to purchase; (2) Assisting the client or customer in developing, communicating, negotiating, and presenting offers, counteroffers, and notices that relate to the offers and the counteroffers until a purchase agreement is signed and all contingencies are satisfied or waived; and, (3) Answering the client's or customer's questions relating to the offers, counteroffers, notices, and contingencies. In addition, a non-refundable listing fee of \$250, not included in the 6% or \$6,000, shall be paid prior to the house being listed on the market.

4. **No Designated Agency Appointment.** By signing below, Manager or its affiliated licensee has agreed that the Manager and all Manager's affiliated licensees shall represent the interest of the Owner.

5. **Recordkeeping.** Manager shall maintain accurate records of all monies received and disbursed in connection with the management of the Property and such records shall be open for inspection to Owner at reasonable times at Manager's principal place of business. Manager shall provide to Owner written statements of property income and expenses at least annually. Owner shall have access to all owner account information through the Owner's Portal within the Manager's software program. Information and link to access the Owner's Portal shall be timely provided to Owner after execution of this Agreement.

6. **Rents, Prepaid Rents, Non-Refundable Fees.** Manager shall receive and hold all rents, fees, pet fees and monies relating to the Property. Any security deposits or non-refundable fees, such as initial cleaning and maintenance fees shall be held and retained by Manager. Any pre-paid rents shall be held by Manager. All non-refundable fees received by Manager shall be held by Manager and maintained in the Manager's property management account, pursuant to local jurisdiction and regulation. All current rents and monies received from tenant(s), Owner or on Owner's behalf for expenses related to property management shall be deposited and maintained in Manager's property management account.

7. **Payments to Owner.** At the same time as Manager provides Owner with the statement of income and expenses as provided in Paragraph 5 herein, Manager shall pay to Owner the net amount of funds due Owner after Manager has deducted all authorized expenses and reserves relating to the management of the Property from any funds collected by Manager on behalf of Owner. Manager reserves the right to transfer funds from any of the Owner's properties to offset deficits on another property account for this Owner.

8. **Duties of Owner.** Owner shall have the following duties and responsibilities:

a) Owner shall provide Manager with all documents and records necessary to effectively manage the Property including, but not limited to, leases, status of any current rent payments, loan payment information, deeds, and copies of any service contracts.

b) Owner shall provide Manager with copies of all insurance policies relating to the Property during the term of this Agreement.

c) Owner shall reimburse Manager, on demand, for any and all funds advanced by Manager on account of Owner in order to carry out Manager's duties under this Agreement. It is expressly understood and agreed, however, that Manager shall not be required to advance any funds on behalf of Owner.

d) Owner shall be responsible for making any governmental agency reports.

9. **Representations and Warranties of Owner.** Owner represents and warrants that he/she/it has obtained all necessary licenses and permits to operate the Property in the manner provided in this Agreement. Owner understands and agrees that Manager will manage the Property in accordance with the requirements of all applicable laws including, but not limited to the Federal Fair Housing

Act, the Tennessee Human Rights Act, the Americans With Disabilities Act, any and all local building and housing codes, as such may be amended from time to time. Owner agrees to cooperate with Manager to comply with such laws.

10. **Representations and Warranties of Manager.** Manager represents and warrants that it shall comply with all applicable federal, state, and local laws and regulations relating to property management and the landlord-tenant relationship including, but not limited to, the Federal Fair Housing Act, the Tennessee Human Rights Act and the Americans With Disabilities Act.

11. **Compensation of Manager.** For its management services, Owner shall pay 9% of the gross amount of money received from the operation of the Property during the period referenced above in this Paragraph. Owner shall pay one month's rent as a leasing or placement fee. Owner shall pay \$200 upon renewal of a twelve-month lease.

12. **Insurance.** Upon execution of this Agreement, Owner and Manager shall review all current insurance policies to determine the sufficiency of coverage. Owner must submit the provider information and policy number to Manager. Owner shall arrange for fire and extended coverage insurance on the Property in an amount deemed sufficient by Owner. Owner shall be responsible to timely pay any insurance premiums due. Furthermore, owner agrees to keep active insurance coverage for properties listed in this agreement.

13. **Taxes.** Owner shall be responsible for and shall pay any and all real property taxes and other taxes assessed against the Property. Manager is not responsible for payment of any property taxes, including delinquent taxes.

14. **Indemnification.** Owner agrees to indemnify and hold Manager free and harmless from any and all losses, costs, claims, liability, damage or expenses including, but not limited to, reasonable attorneys' fees and costs, incurred by Owner arising out of Manager's management of the Property or the performance of any of the duties, obligations, or powers granted in this Agreement or subsequently granted to Manager by Owner. Owner shall carry bodily injury, property damage, and personal injury public liability insurance with a minimum of **\$1,000,000** coverage and the Manager shall be named as an additional insured. The foregoing indemnification shall not apply to any willful or wanton acts of Manager.

15. **Independent Contractor.** It is the intention of the parties to establish an independent contractual relationship rather than a hiring or employment. The parties understand and expressly agree herein that neither Manager nor any of Manager's employees or agents are employees of Owner for Federal, State or Local Tax purposes. It is further understood and agreed that neither Manager nor any of its agents shall be construed as employees of Owner under the Employment Security Laws in the State of Tennessee or the Worker's Compensation Laws of the State of Tennessee.

16. **Cooperation with Other Brokers:**

a) The Owner authorizes the Manager to cooperate with and compensate other Brokers acting as tenant's agents.

b) The Owner authorizes the Manager to cooperate with and compensate other Brokers acting as transaction brokers.

c) Manager does not offer cooperation or compensation to subagents.

17. **Termination of Agreement.** This agreement and the brokerage relationship created hereby may be terminated by either party hereto in the following situations:

- a) In accordance with Paragraph 2 of this Agreement;
- b) In the event of a default under any of the terms of this Agreement and the failure of the defaulting party to remedy such default within ten (10) days of notice from the non-defaulting party.

Upon termination of this Agreement, for any reason whatsoever, Manager agrees that any and all property and other materials furnished to Manager by Owner shall be promptly returned to Owner at the cost and expense of the terminating party.

If owner wishes to terminate this Agreement prior to date laid out in Paragraph 2 of this Agreement, owner must bring all accounts with Manager current, in addition to paying out the remainder of the Agreement. Owner understands and agrees there will be a minimum 60-day waiting period from the date of the termination of this Agreement to close and finalize accounts with Manager.

18. **Amendment.** This Agreement shall only be amended or modified by authorized representatives of Owner and Manager. Such amendment or modification shall be either via executed documentation or email notice.

19. **Addendums.** Owner acknowledges that Manager may offer future services and other management incentives not detailed in this Agreement. Manager shall provide an addendum of services to owner, as applicable, for approval and agreement. Approved and executed addendums shall take effect as of the date of the executed addendum and shall become part of the original agreement for renewal sake. If owner wishes to terminate any addendum services, owner shall provide at least 60 days written notice of termination of addendum services.

20. **Notices.** Any notice or election required or permitted to be given or served by any party hereto upon any other shall be deemed given or served in accordance with the provisions of this Agreement, if said notice or election is delivered personally, sent by facsimile with confirmation, sent by recognized overnight delivery service or mailed in a sealed wrapper by United States Mail, registered or certified, return receipt requested, postage prepaid, properly addressed as follows:

If to Owner:

If to Manager: P.O. Box 34757 Bartlett, TN
38184

Each such mailed notice or communication shall be deemed to have been given if personally

delivered on the date delivered, upon confirmation, if sent by facsimile the business day after sent if sent by recognized overnight courier or, if mailed, two (2) business days after deposited with the United States Postal Service. Any party hereto may change its address for the service of notice hereunder by delivering written notice of said change to the other party hereto in the manner above provided. Either party may change their address by notice given in the manner provided in this paragraph.

21. **Assignment.** Manager shall have the right to assign this agreement as deemed necessary. Owner shall not assign this agreement without the prior written consent of the Manager.

22. **Counterparts/Facsimile.** This Agreement may be executed in one or more counterparts, each of which shall be an original, and all of which constitutes one and the same Agreement. All parties agree to accept facsimile or electronic signatures the same as an original signature.

23. **Litigation Relating to Enforcement.** In the event of litigation relating to the terms of this Agreement, the prevailing party shall be entitled to all of the aforementioned remedies plus the cost of the litigation, including reasonable attorney's fees.

24. **Miscellaneous.** This Agreement and all its terms, conditions and provisions shall be interpreted, construed, and enforced according to the laws of the State of Tennessee. This Agreement constitutes the entire agreement between the Parties; there are no prior or contemporaneous oral or written agreements or understandings between them; and it shall be binding upon and shall inure to the benefit of the Parties, their successors and assigns. The paragraph headings in this Agreement are inserted for convenience only and do not constitute a part of this Agreement. The provisions of this Agreement are independent of and separable from each other, and no provision shall be affected or rendered invalid or unenforceable by virtue of the fact that for any reason any other or others of them may be invalid or unenforceable in whole or in part.

25. **Broker Disclosure Form.** The parties acknowledge, in instances where they were not being represented under a written agency agreement, that they were provided, at the earliest practicable opportunity during or following the first substantial contact with a Licensee, a Broker Disclosure Form. Such form was provided prior to the party entering into any agreement for brokerage services with the Licensee, but in no event later than the Licensee obtaining personal or financial information from the party.

26. **Transfers of Property or New Management of Property.** The following procedure must be completed to transfer management from a property management company or for new management at Legacy Invest Management:

- a) Pay a one-time, \$300 setup fee (per property) to Legacy Invest Management.
- b) Give notice of termination to the current property management company.
- c) Provide copy of notice of termination to Legacy Invest Management.
- d) Sign a property management agreement with Legacy Invest Management c.
- e) Furnish Legacy Invest Management with occupancy status, contact information for current tenants, leases, rental and deposit amounts for tenants without leases, current ledger and keys. If there are no keys provided, locks will be rekeyed at Owner's expense.
- f) Proof of Insurance for property.
- g) Property Deed – If you do not have a copy of your deed, we will obtain one at the Owner's

expense.

- h) Ask prior management company to provide notice to tenant that they no longer will manage the Property.
- i) Notify any rental assistance programs of the change of property management companies and fill out required form, if necessary.
- j) Fill out Management Property Detail Sheet.
- k) If a property is vacant upon transfer and is in need of rehab, Owner will pay a \$500 deposit to Manager that will be held in the operating account for any incoming expenses/ costs.
- l) If a property is vacant upon transfer, Owner will pay \$50 per unit per month while vacant till rented. At the time the property is rented, the management fee of 9% will take effect.

THE PARTIES ACKNOWLEDGE THAT THEY HAVE READ AND AGREED TO THE TERMS AND CONDITIONS OF THIS AGREEMENT AND HAVE RECEIVED A COPY OF THIS AGREEMENT. THE PARTIES FURTHER UNDERSTAND THAT THIS AGREEMENT WILL BECOME LEGALLY BINDING UPON THEIR SIGNING BELOW.

In Witness Whereof, the Parties have executed this Agreement as of the dates indicated below.

MANAGER/BROKER:

Legacy Invest Management

Taylor Miller

PRINTED

SIGNATURE/DATE

339530

BROKER LICENSE NUMBER

OWNER(S):

PRINTED

SIGNATURE/DATE

PRINTED

SIGNATURE/DATE

EIN OR SSN

ADDRESS

PHONE NUMBER

EMAIL ADDRESS

Approved by Legal Counsel for **Legacy Invest Management.**

